ARTIFICIAL INTELLIGENCE AND INFORMATION GOVERNANCE: KEY PRIVACY CHALLENGES



Artificial intelligence (AI) is no longer a futuristic concept—it is a fundamental part of daily business operations and consumer interactions.

From recommending restaurants on Yelp to powering driver selections on Uber and curating entertainment options on Netflix, AI technologies are transforming industries. ***However, the rapid integration of AI into corporate environments presents unique challenges, particularly in information governance (IG) and privacy protection.*** This white paper explores AI's impact on corporate information governance and identifies key privacy risks that organizations must address.

AI's Role in Enhancing Privacy Protections

With organizations managing vast amounts of sensitive data, ensuring robust security and compliance is imperative. AI-powered tools are increasingly employed to mitigate privacy risks, offering the following advantages:

- ***Threat Detection and Response:*** *AI-driven cybersecurity solutions use behavioral analysis and anomaly detection to identify suspicious activities, helping prevent data breaches and unauthorized access.*
- ***Regulatory Compliance Automation:*** *AI assists organizations in complying with privacy regulations by automating the identification, classification, and deletion of sensitive information.*
- ***Data Loss Prevention (DLP):*** *AI-enabled DLP tools monitor and control data movement, reducing the risk of private information leaving an organization.*

While these benefits are significant, AI's potential to introduce privacy risks cannot be ignored. Organizations must implement safeguards to mitigate these risks effectively.

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Privacy Risks Associated with AI Implementation

The integration of AI into corporate infrastructures necessitates a proactive approach to privacy risk management. Key considerations include:

1. Data Collection, Consent, and Leakage

AI systems often require extensive datasets for training and operation. Organizations must:

- *Obtain informed consent from individuals whose data is collected and used.*
- *Maintain transparency regarding data usage, especially if AI tools use the data for training purposes.*
- *Ensure compliance with applicable data protection laws and company policies.*

Data Leakage Risks: A study by Harmonic Security (February 2024) revealed that widely used AI tools, such as ChatGPT, CoPilot, and Gemini, have been sources of sensitive data leaks. The study documented numerous instances of regulated data exposure through AI systems.

A real-world example further illustrates this risk: A team utilizing anonymized medical records to query an AI tool discovered that, in some instances, the AI provided patient names, facility details, and medical professional information from unrelated data sets. This incident highlights the dangers of AI inadvertently exposing protected health information (PHI).

2. Data Security and Third-Party Risks

Protecting sensitive information from unauthorized access is critical when deploying AI solutions. Organizations must:

- *Implement robust security measures, including encryption, access controls, and continuous monitoring.*
- *Assess third-party AI vendors' security practices, especially those handling payroll, customer, or employee data.*
- *Ensure contracts with AI service providers include provisions for data protection and compliance with regulatory requirements.*

Third-party AI tools may have access to sensitive data, making it imperative to scrutinize how vendors collect, store, and process information. Organizations should conduct risk assessments and limit vendor access to only necessary data.

3. Regulatory Compliance and Data Governance

Adhering to privacy regulations such as the General Data Protection Regulation (GDPR) and the California Consumer Privacy Act (CCPA) is non-negotiable. Organizations must ensure that their AI implementations:

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- *Align with legal requirements for data collection, processing, and deletion.*
- *Provide transparency regarding how AI systems use personal data.*
- *Facilitate compliance with individuals' rights to access and request deletion of their personal data.*

Challenges in Consent and Data Deletion: Under GDPR, consent for data processing must be informed, specific, and revocable. However, AI tools may process data in ways that are opaque, making it difficult to track how data is used and whether it can be completely erased from AI models.

Conclusion

AI is transforming how organizations manage data, enhancing efficiency while introducing new privacy challenges. To navigate this evolving landscape, corporate legal and compliance teams must:

- *Establish stringent information governance policies for AI use.*
- *Conduct due diligence on AI vendors and third-party service providers.*
- *Develop AI-specific privacy frameworks that align with global regulatory standards.*

While AI promises immense benefits, organizations must remain vigilant in addressing privacy risks to ensure ethical and compliant AI adoption. Proactively managing AI-driven privacy concerns will not only safeguard sensitive data but also protect an organization's reputation and regulatory standing.

For More Information: Contact Robert Kirtley to discuss AI governance strategies tailored to your organization's needs.

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About the Author

Robert Kirtley is a distinguished leader serving as the Director of Cybersecurity and Information Governance. With three decades and counting of extensive management consulting experience, Robert specializes in providing strategic counsel, operational expertise, and technological infrastructure solutions in the domains of compliance, information governance, and security.

At iDS, Robert leads multifaceted management consulting endeavors for corporations and law firms, while overseeing the Information Strategy and Governance Practice. He has successfully managed numerous client engagements, ranging from small, specialized teams to large-scale projects involving over a hundred personnel.

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